products of chemical industry, antibiotics, fertilizers, etc.—the private sector was treated as a stepchild and reluctantly tolerated with a distinct preference for the public sector. While Bharat Aluminium Company Ltd (BALCO) and National Aluminium Company Ltd (NALCO) got preferential mining leases, private-sector entities had to struggle.

Third, the rest of the industrial space was split up between large and small industry. Many sectors, at one time exceeding 700, were reserved for small industry. There were artificial limits of investment in plant and machinery to distinguish the large and small sectors, leading to stunted development of the items reserved for the small sector.

Finally, the dynamic part of the industry—large industry—was placed under a strangulating control regime. No new industrial unit or expansion of an existing unit was allowed without the permission of the government. Investment decisions were made by civil servants, not businessmen.

The ICOR kept rising menacingly, from 2.95 in the First Plan to an extremely high 6.63 in the Sixth Plan (1976–77 to 1980–81).

Private Sector Muzzled in Its Limited Space

Industrial registration and licencing began with IDRA-1951. Section 10 of the Act provided that the owner of every private industrial undertaking shall register the undertaking. The registration certificate issued mentioned the production capacity of the undertaking besides other particulars.

IDRA-1951 further provided that a licence would be required for establishing a new undertaking; manufacturing a new article by an existing undertaking; effecting substantial expansion by an existing unit; changing the location of an existing undertaking; and carrying on the business of an existing undertaking.

Consequently, an industrialist could not establish any new manufacturing facility, adopt any new technology or expand a factory without a licence from the government. Thus, businessmen stopped doing